

Table 9.5 Real Assets and Bonds Summary Statistics (1/1992–12/2014)

	REIT	GSCI	LTR
CAGR	11.61%	1.51%	7.16%
Standard Deviation	19.23%	20.96%	6.03%
Downside Deviation (MAR = 5%)	16.59%	15.06%	3.86%
Sharpe Ratio	0.53	0.05	0.73
Sortino Ratio (MAR = 5%)	0.48	-0.08	0.55
Worst Drawdown	-68.30%	-69.39%	-6.78%
Worst Month Return	-31.67%	-28.20%	-5.71%
Best Month Return	31.02%	19.67%	8.73%
Profitable Months	62.68%	55.43%	65.22%

Asset Allocation Summary Statistics (without Risk Management)

Before exploring the DIY concept with risk-management, we first examine the performance of our asset allocation model infused with security selection benefits (as discussed in [Chapter 8](#)). We generate results for the three permutations of the asset allocation solution presented in [Figure 9.3](#) (Balanced, Moderate, and Aggressive). In the analysis the follows, the definitions for each strategy are outlined as follows:

- DIY_BAL = 40% Equity (10% US Value, 10% US Momentum, 10% international Value, 10% international Momentum); 40% Real (20% commodities, 20% real estate); 20% Bonds.
- DIY_MOD = 60% Equity (15% US Value, 15% US momentum, 15% international Value, 15% international Momentum); 20% Real (10% commodities, 10% real estate); 20% Bonds.
- DIY_AGG = 80% Equity (20% US Value, 20% US momentum, 20% international Value, 20% international Momentum); 10% Real (5% commodities, 5% real estate); 10% Bonds.
- IVY5 = 40% Equity (20% S&P 500, 20% EAFE); 40% Real (20% commodities, 20% real estate); 20% Bonds.